

The Unitary Qualifying Ratio: What *Dakshin Gujarat* Actually Holds — and Its Hard Edge

On the proportionality principle in the second proviso to Rule 3(1)(a), Electricity Rules 2005 — as formulated and *illustrated* in *M/s. Dakshin Gujarat Vij Company Ltd. v. M/s. Gayatri Shakti Paper & Board Ltd.*, 2023 INSC 886 [corpus SC-001], and applied in *JSW Energy Ltd. v. KERC*, High Court of Karnataka, 12 June 2026 [corpus HC-007].

CORRECTION — THIS REVISION SUPERSEDES THE EARLIER DRAFT

An earlier version of this note argued that the UQR is a “boundary artifact” valid only at 26% ownership, that the Supreme Court had adopted a “distribute-the-51%” method, and that a group clearing the 26%/51% aggregates therefore qualifies. That was **wrong**. It was written before reading the Supreme Court’s **five worked illustrations** (para 44), which show the Court applying the ratio as a *per-user minimum at every ownership level* and expressly denying captive status to a group that clears both aggregates. This revision states the holding correctly and confines the criticism to what genuinely survives — a policy consequence of the rule, not a misreading of it.

THESIS (CORRECTED)

The UQR is *not* a boundary artifact. *Dakshin Gujarat* applies it as a **per-user floor**: each captive user’s consumption must be at least **1.764%** of generation for every 1% of shareholding (1.96% – the 10% variation). Clearing the aggregate 26% ownership and 51% consumption thresholds is **necessary but not sufficient** — Illustration 5 denies captive status to a group that meets both. The real problem is a different one, and it is a genuine defect of the *rule*: because the floor scales with each member’s ownership, qualification becomes arithmetically **impossible** once the captive users jointly own more than ~57%, and it fails substantial co-owners who share output in exact proportion but at less than 1.96:1.

1. THE RULE AND THE RATIO

For a group-captive (association-of-persons) plant, the second proviso to Rule 3(1)(a) requires that the captive users (i) hold $\geq 26\%$ ownership in aggregate; (ii) consume $\geq 51\%$ of annual generation in aggregate; and (iii) do so *in proportion to their shares in ownership, within $\pm 10\%$* . In para 43 the Supreme Court reduced requirement (iii) to a ratio:

UQR = $51\% \div 26\% = 1.96\%$ — every 1% of shareholding requires a *minimum* consumption of 1.96% of generation, permissible band 1.764% to 2.156% ($\pm 10\%$)

2. HOW THE COURT ACTUALLY APPLIES IT — A PER-USER FLOOR

The operative words are “*minimum* consumption of 1.96% ... for every 1% shareholding”. In application the **lower** edge of the band (1.764) is what bites: a member must consume at least $1.764 \times$ their ownership; consuming *more* is never a disqualification (Illustrations 2–3 pass members at ratios of 3–4). The method is two-step: **(a)** test each member’s ratio and drop anyone below 1.764; **(b)** the survivors must still cumulatively hold $\geq 26\%$ and consume $\geq 51\%$. The five illustrations (para 44) are decisive as to what the Court intends:

#	CAPTIVE USERS — OWN% → CONSUME% (RATIO)	RESULT
1	Five users, each own 10.2% → consume 20% (1.96). Own 51% together, consume 100%.	All qualify
2	Five users own 7/6/5/4/4 (=26%) → consume 15% each (ratios 2.14–3.75).	All qualify
3	A,B own 10% → 30% (3.0); C 10% → 20% (2.0); D 3% → 5.75% (1.92); E 3% → 5% (1.67).	A–D qualify (own 33%); E fails (1.67 < 1.764)
4	A 6% → 25% (4.17); B 5% → 20% (4); C 5% → 15% (3); D 5% → 10% (2); E 5% → 5% (1).	E fails; A–D own only 21% → none qualify
5	A own 1% → consume 30% (30); B own 25% → consume 21% (0.84). Together own 26%, consume 51%.	None qualify — B fails the ratio; A alone < 26%

Illustration 5 is the one that matters here. The two users clear *both* statutory aggregates — 26% ownership and 51% consumption — and the Court still holds that neither is a captive user, because B’s consumption-to-ownership ratio (0.84) falls below the floor. Aggregate compliance does not carry a member over the per-user test.

3. THE READING THE COURT DID not TAKE

One might read requirement (iii) as merely *distributing the 51% requirement* across owners by their shares (so three equal owners each consume ~17%). That is roughly the *Kadodara* illustration, and the Supreme Court quoted *Kadodara* — but only for the narrow proposition that proportionality is assessed against the qualifying 51%, *not* against 100% of generation. It did **not** adopt distribution as the test. **Illustration 1 forecloses that reading:** five owners holding 51% are required to consume **100%** (20% each at ratio 1.96), not the 51% that a distribution rule would demand (10.2% each). The per-user floor, not distribution, is the law.

WHAT THE SUPREME COURT HOLDS

Proportionality under the second proviso is a **per-user minimum**: each captive user must consume at least 1.764% of generation for every 1% of its shareholding. Meeting the 26% and 51% aggregates is necessary but not sufficient (Illustration 5). Over-consumption relative to ownership never disqualifies; under-consumption does. “Gaming” by a token (e.g. 1%) shareholder is caught not by any ratio ceiling but by step (b) — the survivors must still cumulatively hold 26%, which a lone 1% owner cannot.

4. THE HARD EDGE — THE CRITICISM THAT SURVIVES

The legitimate objection is not that the Court misread the rule; it is that the rule, so applied, produces results that are hard to defend for genuinely captive, high-ownership structures — and the Court appears to have accepted them deliberately.

THE ARITHMETIC CEILING

- Each member needs consumption $\geq 1.764 \times$ ownership. Summed, the members need total consumption $\geq 1.764 \times$ (aggregate captive ownership).
- Total consumption cannot exceed 100%. So once captive users jointly own more than ~57% ($1.764 \times 56.7 \approx 100$), it is **arithmetically impossible** for all of them to clear the floor — some must be excluded, shrinking the qualifying ownership.

- Two equal partners owning 50% each and consuming 50% each of their own plant — ratio 1.0 — **both fail**. To qualify they would each need to consume ~53%, i.e. 106% together: impossible. The more of the plant the captive users own, the harder the test becomes.

WORKED EXAMPLE — TWO USERS, 25% / 25% OWNERSHIP, 30% / 30% CONSUMPTION

- Aggregate ownership $50\% \geq 26\%$ ✓; aggregate consumption $60\% \geq 51\%$ ✓; consumption shared in exact proportion to ownership ✓.
- But each ratio = $30 \div 25 = 1.2$, below the 1.764 floor — so under *Dakshin Gujarat* **both are disqualified** (the same defect as B in Illustration 5).
- This is the Court's *intended* result, not an oversight: a substantial owner who under-consumes relative to its stake is treated as an investor, not a captive user.

BOTTOM LINE — FOR AN ADVOCATE

Do not argue that clearing $26\% + 51\%$ is enough; Illustration 5 defeats that. To obtain relief for a high-ownership captive group, the line is that the per-user floor yields *manifestly unreasonable* results for the paradigm captive case (owners who consume most of their own output are disqualified; $>57\%$ ownership is unqualifiable), and that the five illustrations are *explanatory* rather than part of the binding ratio — an uphill submission, but the only honest one. Note that *JSW Energy* (Karnataka HC) does **not** help on this: it reaffirmed the fixed 1.96 baseline and decided only that KERC could not swap the qualifying denominator for actual consumption. The hard edge remains unlitigated.

*Editorial commentary (Rev. 2) prepared from the text of the cited judgments and Rule 3 of the Electricity Rules 2005, including the five illustrations reproduced at para 44 of *Dakshin Gujarat*. It records a reasoned interpretation and a policy criticism; it is not legal advice and is not a substitute for the judgments, which should be read in full before use.*